

Consumer Durables

MARKET SIZE

WORLD

70 Lakh Cr
2026E

Global home appliances

INDIA

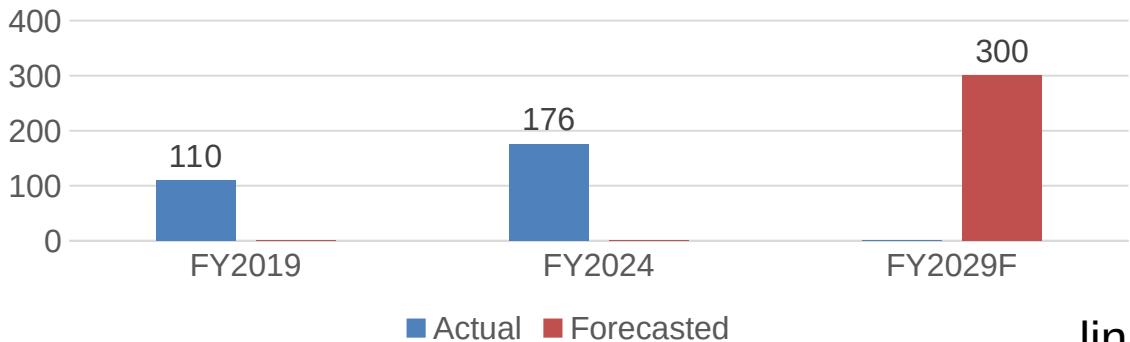
1.35 Lakh Cr
FY26E

Consumer electricals / FMCG

Persistence Market Research .
Technopak-RR Kabel Industry Report, page 8

Consumer Durables Sector Revenue in India

(FY 2019-2029F) (INR Lakh Crore)



[link](#)

An ~11% CAGR is expected from FY2024 - FY2029F in Industry wide revenue

KEY PLAYERS

Panasonic

HITACHI
Inspire the Next

SAMSUNG

BAJAJ
ELECTRONICS



LG

ONIDA

Godrej

SONY

Whirlpool
CORPORATION

PHILIPS

IFB
Set yourself free

BLUE STAR

DAIKIN

MARKET PROJECTIONS

- India's room air-conditioner market was valued at nearly US\$5 billion in FY25 and is projected to reach ₹50,000 crore by FY29, growing at approximately 12% CAGR. [link](#)
- India is expected to become the world's fourth-largest consumer-durables market by FY27. The sector is projected to grow at approximately 11% CAGR and reach ₹3 lakh crore by FY29. [link](#)
- India's electronics production reached ₹11.3 lakh crore in FY25, nearly six times its FY15 level. Electronics exports increased eightfold to ₹3.27 lakh crore during the same period. [link](#)
- India's smartphone shipments declined 10% YoY in Q2 2026, marking the steepest June-quarter decline in six years, amid weak demand and rising component costs. [link](#)
- The global consumer-electronics market was valued at US\$1.32 trillion in 2025 and is estimated to reach US\$1.39 trillion in 2026. The global consumer-electronics market is projected to reach US\$2.07 trillion by 2033, growing at a CAGR of 5.9% between 2026 and 2033. [link](#)
- India's consumer-electronics market generated approximately US\$101.24 billion in 2025 and is projected to reach US\$182.94 billion by 2033, growing at a CAGR of 7.8%. India accounted for 7.7% of the global market in 2025. [link](#)

CONSUMER DURABLES SUB SECTORS

White Goods

(Traditionally large household appliances focused on utility and home comfort)

- Air Conditioner
- Electric fans
- Refrigerators
- Washing machines
- Microwave ovens
- Sewing machines
- Cleaning equipment

Brown Goods

(Primarily entertainment, communication, or personal care electronics)

- Televisions
- Laptops
- Audio and video systems
- Digital camera
- Electronic accessories
- Personal computer

[link](#)

SUPPLY CHAIN ANALYSIS

Sourcing

Raw materials and components (chips, plastics, motors) from global/domestic suppliers

Manufacturing

Assembly by OEMs or EMS players (e.g., Dixon, Foxconn) in India or abroad

Logistics

Inbound and outbound transport + regional warehousing

Distribution

General trade, modern retail (Croma, Reliance), and e-commerce platforms

Sales & Marketing

Branding, promotions, EMI offers, D2C channels

After-Sales Service

It involves Installation, repair, warranty, spare parts

Reverse Logistics

Product returns, recycling, e-waste disposal

Consumer Durables

PORTER’S 5 FORCES ANALYSIS

Threat of New Entrants	Bargaining Power of Buyers	Bargaining Power of Suppliers	Threat of Substitute Products	Competitive Rivalry
LOW	HIGH	LOW	LOW	HIGH
- High capital investment and economies of scale are essential for manufacturing competitiveness - Difficult for new players to replicate the well-established distribution networks of existing firms	- Switching between brands or products involves minimal cost for consumers - Consumers have access to a wide range of choices across different product lines	- Key raw materials are standardized and sourced from competitive, open markets - Many suppliers depend heavily on large consumer durable companies for business	- Few truly new product categories have emerged in recent years - Given the industry's broad scope, most innovations or category expansions come from established players	- Numerous well-funded competitors operate in the market - Intense competition is evident in areas like product variety, pricing strategies, innovation, and promotional campaigns

VALUATION

- Most consumer durable firms in India** are mature and profitable, with strong free cash flows.
- DCF (Discounted Cash Flow)** is the preferred valuation method due to the stable cash flow profile.
- Trading comparables** should be used cautiously because:
 - The industry includes a diverse set of companies.
 - Few precedent transactions exist due to low deal activity.
- Revenue-based multiples** should be avoided, as business models in the sector vary widely in terms of margins.

MULTIPLE	VALUE
EV/TTM EBITDA	~40x
EV/FY’24 EBITDA	~29x
P/E Ratio	~68x

GROWTH DRIVERS

- Low product penetration:** Only around **10% of Indian households own an AC**, and nearly **85% of buyers are first-time users**, showing that appliances remain aspirational purchases with large growth potential. [link](#)
- Rising cooling needs:** India sold **14 million ACs in 2024, up 27% YoY**, as hotter summers are making air conditioning a necessity rather than a luxury. [link](#)
- Higher incomes and new homes:** Rising disposable incomes, marriages and movement into new homes encourage households to purchase multiple appliances together. [link](#)
- Easy financing:** No-cost EMIs, consumer loans and festive discounts allow buyers to purchase expensive appliances without making the full payment upfront. [link](#)
- Premiumisation:** With **32% of consumers willing to pay more for better quality**, buyers are shifting from the cheapest option to durable, feature-rich and trusted products. [link](#)
- Demand for convenience:** Busy and working households increasingly prefer automated and smart appliances that reduce the time and effort spent on daily tasks. [link](#)
- Faster upgrades:** Consumers are replacing functioning appliances to access better designs, smart features and improved performance, shortening replacement cycles. [link](#)
- Energy-saving preference:** Rising electricity bills are encouraging buyers to compare star ratings and choose energy-efficient products based on long-term savings.[link](#)

Consumer Durables

Company Name	Current Market Price(Rs.)	P/Market Cap (Rs. Cr.)	Market Cap (Rs. Cr.)
Titan Company	4,677	80.6	4,15,218
Dixon Technologies	13,846	58.8	84,657
Havells India	1,227	46.2	76,996
Berger Paints	498	51.3	58,061
Voltas	1,327	112	43,918
Blue Star	1,637	60.2	33,663
Amber Enterprise	7,262	129	35,610
PG Electroplast	572	83.5	16,415
Crompton Gr. Con	250	48	16,108
Whirlpool India	771	31.2	9,788

RECENT & NOTEWORTHY DEVELOPMENTS

- GST rationalisation:** From September 2025, GST on air conditioners, televisions and dishwashers was reduced from **28% to 18%**, improving affordability and supporting demand among first-time and middle-income buyers. [link](#)
- White-goods localisation:** The PLI scheme now covers **84 companies with ₹10,478 crore of committed investment** and expected production of ₹1.73 lakh crore, strengthening domestic manufacturing of compressors, motors, heat exchangers and LED components. [link](#)
- Electronics-component push:** Budget 2026–27 increased the Electronics Components Manufacturing Scheme outlay from **₹22,919 crore to ₹40,000 crore**, signalling a shift from final-product assembly towards deeper domestic component manufacturing. [link](#)
- Stricter energy-efficiency standards:** BEE upgraded standards for split ACs and deep freezers from January 2026, followed by commercial ACs in April and water heaters in July, requiring portfolio redesign while accelerating energy-efficient premium products. [link](#)
- Higher recycling obligations:** Producers must recycle **70% of eligible e-waste in FY26 and FY27**. As of March 2026, India had 386 registered e-waste recyclers, making reverse logistics and recycling certificates increasingly important operating requirements. [link](#)
- Right-to-repair gains momentum:** The government is developing a Repairability Index covering consumer durables and electronics, encouraging easier spare-part access, transparent repair information and longer product life, raising the strategic importance of after-sales service and product design. [link](#)

KEY PERFORMANCE INDICATORS (KPIS)

- Revenue Growth (%):** Indicates topline expansion from product sales YoY or QoQ.
- Operating Margin (%):** Measures profitability before interest and taxes; reflects pricing power and cost efficiency.
- Return on Capital Employed (ROCE):** Assesses how efficiently a company uses its capital to generate profits.
- Inventory Turnover Ratio:** Reflects how efficiently inventory is managed; higher is better.
- Market Share (%):** Indicates competitive strength in specific product categories (e.g., ACs, TVs)
- After-Sales Service Satisfaction Score:** Critical in white goods; impacts brand loyalty and repeat purchase.
- Ad Spend as % of Revenue:** Tracks brand-building efforts and marketing efficiency.
- Product Return/Defect Rate (%):** Indicates quality control and customer satisfaction levels.

KEY BUSINESS METRICS

- Average Selling Price (ASP):** Helps assess product mix (premium vs. mass segment).
- Units Sold / Volume Growth:** Tracks actual product adoption and market demand.
- EMI Penetration Rate:** Measures % of sales made via consumer financing—important in India.
- Channel Mix (%):** Share of sales from online, general trade, modern retail, and D2C.
- SKU Rationalization (%):** Tracks portfolio efficiency—cutting low-volume SKUs to improve margins.
- Energy Star Rating Compliance (%):** Important for product regulation and eco-conscious buyers.